

Lecture 06 (2026-07-05)

Quick Summary

The Job Characteristics Model (JCM) is used to identify how specific job design dimensions influence psychological states, leading to outcomes such as internal motivation, quality performance, job satisfaction, and reduced absenteeism/turnover.

Attaching the Carrot to the Stick: This section explores the limitations of extrinsic rewards. While rewards can motivate, they can undermine intrinsic interest, lead to "short-cut" behaviors, and only ensure compliance rather than engagement.

Expectancy Theory: A framework for understanding motivation by analyzing the link between effort, performance, and the value of the resulting reward. Motivation is the product of three factors: Expectancy (Effort $\rightarrow$ Performance), Instrumentality (Performance $\rightarrow$ Reward), and Valence (Value of Reward).

Group Dynamics: The study of how individuals interact within small groups. It focuses on how groups develop their own identities, leadership, and goals, which often differ from the behaviors of individuals acting alone. Key benefits of group dynamics include: * **Synergy:** Creating collective solutions that are more creative and well-rounded. * **Productivity:** Streamlined workflows through the delegation of tasks. * **Communication:** Development of active listening and giving/receiving of feedback. * **Trust/Cohesion:** Building mutual support and a "shared" sense of belonging. * **Individual Growth:** Utilizing peer feedback as a catalyst for personal development.

Norms and Collective Behavior: The power of group norms to shape individual behavior. Positive norms (e.g., CSR-related initiatives like blood donation or tree planting) can foster "Organizational Citizenship Behavior," where employees feel a sense of pride and belonging. Conversely, shared group membership can also lead to "Deviant Workplace Behaviors" (e.g., wasting resources, sabotage, lying, or bullying) if the group norms allow for such actions.

Decision-Making Dynamics: Group decision-making is evaluated based on five key dimensions: effectiveness, efficiency, accuracy, speed, and creativity. These are influenced by the quality of information, group size, and the complementarity of the members.

Key Definitions

Job Characteristics Model (JCM) The model proposes that individuals obtain internal rewards when they learn (knowledge of results) that they personally (experienced responsibility) have performed well on a task they care about (experienced meaningfulness).

Core Dimensions of JCM: * **Skill Variety:** The degree to which the job requires a variety of different activities, allowing the worker to use a number of different skills and talents. * **Note:** Humans are not machines; they require variety to avoid boredom. * **Task Identity:** The degree to which the job requires completion of a whole or identifiable piece of work. * **Example:** A scriptwriter, composer, and musician all contribute to a "whole" (the movie). * **Task Significance:** The degree to which the job has a substantial impact on the lives or work of others (e.g., R&D vs. Sales). * **Autonomy:** The degree to which the job provides substantial freedom, independence, and discretion in scheduling the work and determining procedures. * **Feedback:** The degree to which carrying out work activities results in the individual obtaining direct and clear information about the effectiveness of their performance.

Intrinsic Motivation: Internal interest in a task. Rewards can "punish" this by making the person only want to do the task for the reward. **Extrinsic Motivation:** Motivation driven by external factors like rewards or incentives. **Compliance vs. Engagement:** An incentive buys **compliance** (doing the task because it's required/rewarded); it does not necessarily buy **engagement** (personal commitment to the work). **Behavior vs. Outcome:** "Behavior" refers to the **means** (e.g., teamwork, quality, safety); "Outcome" refers to the **ends** (e.g., total sales, number of units).

Expectancy Theory Components: * **Expectancy (E):** The belief that putting in effort will result in achieving a specific performance level (Effort $\rightarrow$ Performance). * **Instrumentality (I):** The belief that successful performance will actually result in a specific reward (Performance $\rightarrow$ Reward). * **Valence (V):** The value an individual places on the reward (The "Balance" or "Value" assigned to the outcome).

Group Dynamics: * **Definition:** Derived from the Greek word for "force," it refers to the social process by which people interact face-to-face in small groups. * **Core Concept:** Groups generate their own leaders, goals, and suggestions. * **Key Distinction:** The behavior of the group as a whole does not necessarily represent the behavior of the individual members, and vice versa. * **Scope of Study:** Includes the Importance, Fundamental principles, Diverse types, and Evolutionary stages of group interaction. * **Interdependence:** The degree to which members rely on one another; actions of one member reverberate across the entire group. * **Communication Excellence:** The core of successful group dynamics; includes open dialogue and the flow of ideas. * **Roles:** The pillars of a group; clearly defined roles minimize conflict and ensure balanced contribution. * **Norms:** "Guiding stars" of the group; unwritten codes of conduct that shape interaction and group identity. * **Cohesion:** The "glue" of the group; the degree of unity and connection between members.

Group Types: * **Formal Groups:** Defined by the organization's structure (e.g., departments, teams with assigned roles). * **Informal Groups:** Alliances not formally structured; based on commonalities like location, interests, or shared identities (e.g., co-workers who carpool or share a hometown).

Social Identity Theory: * **Definition:** Explains why individuals consider themselves members of a particular group. * **Mechanism:** People have emotional connections with their groups; self-esteem becomes tied to the group's performance. * **Function:** Helps individuals understand who they are and where they fit in society.

In-groups and Out-groups: * **In-group:** A group where members see themselves as "us." * **In-group Favoritism:** The tendency to see members of our group as "better" than others. * **Out-group:** By necessity, any in-group creates an out-group (everyone else). They are often clearly identified as "not part of our group."

Social Identity Threat: * **Definition:** Similar to stereotype threat; when an individual believes they will be personally evaluated negatively due to their association with a devalued group, potentially leading to a loss of confidence and performance.

Norms & Culture: * **Cultural Context:** Different cultures (e.g., Collectivist vs. Individualistic) lead to different underlying understandings of norms. * **Adaptation:** Individual orientations can shift over time due to cultural immersion (e.g., someone moving from India to America may adopt local norms but may eventually re-evaluate their original culture).

Status: * **Definition:** A socially defined position or rank given to group members by others. * **Status Characteristics Theory:** Status is derived from three sources: 1. The power a student/member wields over others. 2. The ability to contribute to group goals. 3. Individual personal characteristics.

Social Loafing: * **Definition:** The tendency for individuals to exert less effort when working collectively than when working alone. * **Organization Context:** Often results in "disguised unemployment" where individuals do the bare minimum because the "group" is responsible.

Group Diversity: * **Definition:** The degree to which members of the group are similar to or different from one another. * **Dynamics:** High diversity can lead to increased conflict in the short term but leads to higher performance and creativity over time.

Group Decision Making: * **Pros:** Complete information, diverse perspectives, higher acceptance of solutions (joint decision), and shared ownership of results. * **Cons:** Time/resource consumption, conformity pressures, potential for dominance by specific members, and ambiguity of responsibility. * **Interacting Groups:** Most decision-making occurs here; members meet face-to-face and use both verbal and non-verbal cues. These groups are prone to self-censorship and pressure for conformity. * **Brainstorming:** Used for new product ideas or specific problems where no pressure for conforming is wanted. Leader states problem $\rightarrow$ members free-wheel $\rightarrow$ as many ideas as possible $\rightarrow$ no criticism $\rightarrow$ one idea stimulates others $\rightarrow$ members are encouraged to think "unusual." * **Nominal Group Technique:** Restricts discussion and interpersonal communication. Members are physically present but act independently. It permits formal meeting without the constraints of interaction. * **Process:** 1. Members independently write ideas. 2. Silent period. 3. Members present ideas. 4. Discussion for clarity. 5. Rank order ideas; highest aggregate score wins. * **Note:** Outperforms brainstorming in many contexts.

Role Ambiguity/Conflict: * **Ambiguity:** Lack of clarity regarding what is expected. * **Conflict:** When an individual faces competing expectations from different roles (e.g., being a "boss" vs. a "friend").

Worked Examples

Case Study: The Disengaged Analyst (Riya at Infosys) * **Scenario:** Riya is a data analyst who became bored and disengaged because her tasks were routine (data cleaning, reporting), she didn't see how her work affected decisions, she had no freedom to choose tools, and she received just received no feedback. * **Question:** Based on JCM, identify which core job characteristics are lacking in Riya's job. * **Analysis of Evidence:** * "Routine data cleaning" $\rightarrow$ **Skill Variety (Low)**. * "Small parts of projects" $\rightarrow$ **Task Identity (Low)**. * "Feels her role is mechanical and lacks meaning" $\rightarrow$ **Task Significance (Low)**. * "Strict instructions... little freedom to choose methods or tools" $\rightarrow$ **Autonomy (Low)**. * "Reports... forwarded to clients without discussion" $\rightarrow$ **Feedback (Low)**. * **Proposed Solutions/Improvements:** * Give Riya complete analytical projects (improves Task Identity). * Allow freedom in choosing analytical tools (improves Autonomy). * Provide regular feedback sessions (improves Feedback). * Let her present insights directly to senior management (improves Task Significance). * **Outcome:** These changes would improve intrinsic motivation and job satisfaction.

Case Study: Attaching the Carrot to the Stick * The Felt-Tip Pen Study (Mark Lepper, Stanford): * **Group A:** Children were rewarded for drawing with felt-tip pens. When rewards were removed, they stopped using the pens. * **Group B:** Children were not rewarded for using the pens. They continued to use them eagerly even after the experiment ended. * **Reasoning:** Reward can diminish intrinsic interest. * **The "Shortest Route" Logic (Edward Deci):** * **Factory Workers:** If paid solely based on the **number** of units (Outcome/Quantity), they may neglect the quality of the product. * **Executives:** If rewarded strictly on **quarterly stock price** (Outcome/Short-term), they may ignore long-term profitability, sustainability, or even engage in unethical/illegal behavior to hit the target. * **Wellness Programs (David Anderson, Stay-Well Health Management):** * **Scenario:** Financial rewards for meeting health goals. * **Issue:** Reward might lead to discrimination against those unable to reach goals and may only buy **compliance** rather than actual engagement with health.

Case Study: The Strategic Consultant Dilemma (Arjun) * **Context:** Arjun is a senior consultant. The firm introduced a Performance-Linked Incentive (PLI) system. * **Requirement:** ₹2 crore annual billing for promotion to Associate Partner. * **Other factors:** Client feedback and "leadership visibility." * **Bonus:** Tied to overall firm profitability. * **The Problem:** * Billing targets increased by 30% due to market slowdown. * Promotion is limited by "quotas" (meaning performance doesn't guarantee a reward). * Client feedback is influenced by external factors (budget cuts, politics) outside Arjun's control. * **Symptoms/Behavioral**

Changes: * Arjun focuses only on "safe" clients (avoiding risky/innovative projects). * He reduces "discretionary efforts" (e.g., mentoring juniors). * **Analysis via Expectancy Theory:** * **Expectancy (Effort $\rightarrow$ Performance) is Reduced:** Because of the 30% increase in targets and the influence of uncontrollable factors (client budget, internal politics), Arjun believes extra effort will not necessarily result in meeting the performance goals. * **Instrumentality (Performance $\rightarrow$ Reward) is Low:** Because the promotion is tied to "quotas" and "firm profitability" rather than just individual performance. The link between his success and the reward is broken. * **Valence (Value of Reward) is Low:** Arjun is considering moving to a startup for "equity" (ownership). Since his current promotion is uncertain/out of his control, the perceived value of the current reward system is decreasing. * **Management Conclusion:** The firm's current system leads to "goal displacement" and "risk-averse behavior." Because the rewards are poorly linked to individual effort and performance, employees choose the "short route" (safe clients) and drop non-core activities (mentoring).

Case Study: Zimbardo's Prison Experiment * **Context:** Participants were assigned roles in a simulated prison environment. * **Observation:** Participants quickly and easily adopted roles that were drastically different from their actual personalities. * **Key Takeaway:** People can quickly conform to and assume roles defined by group dynamics or situational requirements.

Case Study: Asch's Conformity Study * **Setup:** Participants were shown a card with a line (X) and three other lines (A, B, C). They were asked to identify which line matched the length of X. * **Observation:** Even when the answer was obvious, participants often gave the wrong answer if everyone else in the "group" gave the wrong answer. * **Purpose:** This demonstrates how group pressure and the desire for consensus can override individual judgment.

Example of Positive Norms in CSR * **Scenario:** A company organizes monthly blood donation drives, tree-planting initiatives, or community cleaning. * **Outcome:** These activities foster "Organizational Citizenship Behavior" where employees feel a sense of pride and belonging in the "family" of the company.

Formulas & Rules

JCM Structural Framework: The model links job characteristics to psychological states, which then produce a "sum total" of four key outcomes: 1. **Skill Variety + Task Identity + Task Significance $\rightarrow$ Meaningfulness of the work.** 2. **Autonomy $\rightarrow$ Responsibility for outcomes.** 3. **Feedback $\rightarrow$ Knowledge of results.**

The "Sum Total" Result: (Meaningfulness + Responsibility + Knowledge of Results) $\rightarrow$ {Internal Motivation, Quality Performance, Job Satisfaction, Lower Absenteeism/Turnover}.

The "Reward Threshold" Rule: Neuroimaging research (Vikram Chib, Cal Tech) shows that when incentives reach a certain threshold, the brain's reward center can "shut down." The individual becomes distracted by the "carrot" (the reward) and fears losing it, leading to failure.

Expectancy Theory Formula: $\text{Motivation} = \text{Expectancy (E)} \times \text{Instrumentality (I)} \times \text{Valence (V)}$ * **E:** Do I believe my effort will lead to the performance target? * **I:** Do I believe that if I hit the performance target, I will get the reward? * **V:** Do I actually value the reward?

Status Characteristics Theory (3 Sources of Status): Status is derived from: 1. **Power:** The power a member wields over others. 2. **Ability:** The person's ability to contribute to the group's goals. 3. **Personality:** Individual personal characteristics.

Rule of Diversity: * **Short-term:** High diversity $\rightarrow$ Increased conflict/different viewpoints. * **Long-term:** High diversity $\rightarrow$ Improved performance, creativity, and open-mindedness.

Group Decision Making Evaluation: * $\text{Pros} = \text{More Information} + \text{Different Perspectives} + \text{Increased Acceptance (Joint Decision)} + \text{Shared Ownership}$. *

\$\text{Cons}\$: $\text{Time Consumption} + \text{Conformity Pressures} + \text{Dominant Members} + \text{Ambiguity of Responsibility}$.

Stages of Group Development: 1. **Forming:** Members join and begin the process of defining the group's purpose, structure, and leadership. 2. **Storming:** Intragroup conflict occurs as individuals resist control by the group and disagree over leadership. 3. **Norming:** Close relationships develop as the group becomes cohesive and establishes its norms for acceptable behavior. 4. **Performing:** A fully functional group structure allows the group to focus on performing the task at hand. 5. **Adjourning:** The group prepares to disband and is no longer concerned with high levels of performance.

Punctuated Equilibrium Model: Used to describe how groups "jump" in performance. * **Phase 1:** Performance remains relatively stable/flat during the initial stages (Forming/Storming). * **Phase 2:** Following a period of "mutual understanding" (the transition), performance increases significantly (like a "spring" effect) as the group becomes productive.

Decision-Making Comparison Table:

Effectiveness Criteria	Interacting	Brainstorming	Nominal
Number and quality of ideas	Low	Moderate	High
Social pressure	High	Low	Moderate
Money costs	Low	Low	Low
Speed	Moderate	Moderate	Moderate
Task orientation	Low		

Tricky Logic & Traps

- **Human vs. Machine Logic:** Use "Skill Variety" to argue against "routine" work. A machine (like a vacuum) can perform a repetitive task indefinitely; a human will become "bored and disengaged" without variety.
Task Identity vs. Task Significance:
 - **Identity** is about the **scope** (Is it a "whole" piece of work or just a small part?).
 - **Significance** is about the **impact** (Does the work matter to others or the organization?).
 - **Feedback Definition:** Feedback is not just "receiving a grade"; it is "direct and clear information about the effectiveness" of the work (e.g., seeing if a creative choice worked).
Identifying Symptoms in Case Studies: Look for specific keywords to map to JCM:
 - "Routine" or "Repetitive" $\rightarrow$ Lack of **Skill Variety**.
 - "Fragmented" or "Small part" $\rightarrow$ Lack of **Task Identity**.
 - "Mechanical" or "No impact" $\rightarrow$ Lack of **Task Significance**.
 - "Strict instructions" or "No choice" $\rightarrow$ Lack of **Autonomy**.
 - "No discussion" or "One-way" $\rightarrow$ Lack of **Feedback**.
 - **Rewards & Intrinsic Interest:** Just because a reward **can** motivate doesn't mean it **should**. Rewards can "punish" an employee by replacing intrinsic interest with a dependency on the reward. If the reward is removed, the interest disappears (e.g., the felt-tip pen example).
Outcomes vs. Behaviors: This is a critical distinction for management.
 - **Outcomes (Ends):** Quantity, sales targets, stock price. Focusing only here leads to "the shortest route" (cutting corners, sacrificing quality/longevity).
 - **Behaviors (Means):** Quality, teamwork, compliance, sustainability. These should be the targets of incentives to ensure long-term health.
- The "Regularly" Trap:** In discussions about bonuses, "Regular" can be ambiguous.

- **Risk of high frequency:** Can lead to perceived favoritism, fear of missing out, or a "pay-to-play" attitude.
- **Management Logic:** Annual or semi-annual rewards are "regular" in a professional sense, but frequent/immediate reward cycles can skew behavior toward the "short route."
- **Compliance vs. Engagement:** Understand that an incentive bought by management only guarantees that an employee will **comply** with a rule; it does not guarantee they are **engaged** or motivated by the task itself.

Expectancy Theory: Identifying the "Break" in the Chain:

- **Expectancy Failure:** Use this when the prompt mentions **external factors** or **unattainable goals**. (e.g., If a 30% target hike makes the goal seem impossible, Expectancy is low).
- **Instrumentality Failure:** Use this when the prompt mentions **quotas, luck, or firm-wide metrics**. If the employee hits the goal but the company chooses not to reward them (due to a cap), the link between performance and reward is broken.
- **Valence Failure:** Use this when the prompt mentions **conflicting options** or **lack of value**. If the reward doesn't align with the employee's personal goals (e.g., they'd rather have equity in a startup than a capped bonus), Valence is low.
- **Discretionary Effort:** This refers to work not strictly listed in KPIs (like mentoring or coaching). If these behaviors decline, it is a signal that the employee is no longer "bought-in" to the culture and is only doing the bare minimum to ensure their own personal goals.
- **Group vs. Individual Behavior:** A group's behavior is not a simple sum of its members' behaviors. The group develops its own dynamics, which can lead to "groupthink" or unique collective outcomes that differ from what individuals would do alone.

Role Perception vs. Expectation:

- **Role Perception:** An individual's personal, subjective interpretation of how they should act (e.g., "I think my role as a manager is to be a mentor").
- **Role Expectation:** The perception of others regarding how a person in that role should act (e.g., "The team expects the manager to be a disciplinarian").
- **Inter-role Conflict:** Occurs when an individual faces conflicting expectations from two different roles. Example: A manager must balance being a "boss" (firm rules) and a "friend" (personal connection) to the same person.
- **In-group Favoritism:** The "Us vs. Them" mentality where members of the in-group view others as "all the same" and treat their own members as superior.
- **Social Identity Threat:** Be aware of the "fear" factor. People may underperform or lose confidence if they believe their group association will lead to a negative judgment from others.
- **Norms vs. Organizational Protocol:** Protocol is a rule set by the company (automatic compliance). Norms are shared behaviors and "consensus" developed through interaction (especially during the Norming stage).
- **Fish Rot From the Head:** This is a critical logical point for **Status**. While deviations at lower levels might be "harmless" (e.g., arriving 2 hours late), deviations at higher levels are much more damaging/visible because high-status individuals have more "freedom" to bypass norms and are more "bold" with resources.
- **Social Loafing as "Disguised Unemployment":** Use this to explain why people perform poorly in groups. If no specific role is assigned and the "group" is responsible, individuals will do less.
- **Diversity Paradox:** High diversity increases conflict in the **short term**, but it leads to better performance, more open-mindedness, and more creativity in the **long term**.
- **Decision Making Trade-offs:** Group decision-making is superior for **accuracy, creativity, and acceptance**, but it is inferior for **speed** and may introduce **conformity pressures** or **ambiguity of responsibility**.
- **Status & Participation:** Note that lower status people tend to participate less in group discussions. Groups with high status differences are likely to inhibit input from lower status members and reduce their potential.

- **Group Size Logic:** Use **larger groups** for fact-finding (better for measuring individual performance) and **smaller groups** for action-taking tasks.
- **Role Clarity:** To improve satisfaction, ensure roles are perceived accurately. Job clarity should be provided in both written and in-person formats to eliminate ambiguity or conflict.

Exam Pointers

Analysis Requirement: If a case study is worth multiple marks (e.g., 5 marks), do not just list the missing characteristics. You must:

- **Identify:** Explicitly name the JCM dimension or Expectancy component.
- **Evidence:** Quote the specific line from the case (e.g., "routine data cleaning" or "limited quota") as the "symptom."
- **Recommend:** Provide a practical management solution for that specific symptom (e.g., "allow freedom in choosing tools" or "remove quotas to fix Instrumentality").

Question: "Would you use bonuses regularly?"

- **Step 1: Define your terms.** Start by defining what "bonus" means in your context (e.g., a financial reward for hitting a target).
- **Step 2: Contextualize.** Tailor your answer to the role (e.g., a Sales role can be incentivized by units sold, but an R&D or Back-office role requires rewards based on quality or project milestones).
- **Step 3: Use Logic over Opinion.** Explain **why** a specific frequency works. (e.g., "Annual bonuses provide a predictable cadence, while monthly bonuses might lead to 'short-termism' where quality is sacrificed for quantity.")

Selection of Technique: When choosing between Interacting, Brainstorming, or Nominal techniques, justify based on the goal:

- Use **Brainstorming** to foster creativity and "unusual" ideas while minimizing pressure for conformity.
- Use **Nominal Group Technique** to ensure high quality of ideas and avoid the pitfalls of interpersonal pressure/conformity in face-to-face settings.
- **Structure:** When answering, clearly link the symptoms to the JCM model or Expectancy Theory and explain how the proposed changes will improve "intrinsic motivation" or "linkage between effort and reward."

Sources

- MBA ZG511 Lecture 7.pptx
- MBA ZG511 Lecture 8.pptx
- MBA ZG511 Lecture 9.pptx
- MPO Session 9-13 2026.pdf